

1-B:

A production possibility curve (PPC) exists because economic resources are scarce and can be used in multiple ways. The central concept here is **opportunity cost**, which means that choosing to allocate resources toward one good means sacrificing their use in the production of another.

For example, a country can use its limited land either for agriculture or for building housing, but not both at the same time. This trade-off is what the PPC graphically represents. **It shows all the maximum combinations of two goods that an economy can produce when its resources are fully and efficiently employed.**

The curve's existence is therefore grounded in the economic reality that **resources are limited and have competing uses**, which is why the economy must constantly make decisions about allocation. Without alternative uses for resources, there would be no need to choose and no PPC. Hence, key B is correct.

Option A is incorrect because if resources were unlimited, there would be no scarcity and thus no opportunity cost. An unlimited resource base would allow all goods to be produced in any desired quantity without trade-offs. In such a scenario, the PPC would be redundant, as it is designed to illustrate the limitations imposed by scarcity.

Option C is incorrect because the possibility of importing resources is unrelated to the foundational concept of a PPC, which deals with an economy's internal resource allocation.

Option D is incorrect because unemployed resources cause an economy to operate *inside* the PPC, not define the existence of the curve.

2-D:

A **normative statement** expresses a value judgment or opinion about what ought to happen, rather than stating a fact that can be tested or measured. Option D compares the harms of two different economic problems (**unsustainable growth and hyperinflation**) and concludes one is worse. This is inherently subjective and cannot be verified empirically, since the "harmfulness" of each depends on political priorities, and economic context.

Option A is incorrect because it is a **positive statement** that can be tested using empirical data. If interest rates fall and aggregate demand rises (due to lower borrowing costs and subsequently increased investment), this can be observed and confirmed using real economic data.

Option B is also a positive statement. It makes a testable claim that a rise in unemployment would reduce inflationary pressures. This is consistent with the **Phillips Curve** trade-off between unemployment and inflation, and can be backed by macroeconomic data.

Option C is positive as well — it predicts a behavioural change in response to a policy. One could gather evidence to test whether reducing benefit payments actually increases labour force participation since voluntary unemployment reduces.

3-B:

The **basic economic problem** is one of **scarcity**: the condition that arises because resources (land, labour, capital, and enterprise) are finite, while human wants are infinite. People always want more goods and services than the economy can produce, which forces societies to make choices about allocation. This gives rise to three key economic questions: *what to produce*, *how to produce*, and *for whom to produce*.

Because resources are limited (land is fixed, labour is finite), and wants keep increasing, the fundamental problem in every economy is how to satisfy unlimited wants using limited means.

Hence, key B is correct.

4-D:

A key weakness of the free market is its inability to provide **public goods**, which are **non-excludable** and **non-rivalrous**. This means that one person's consumption does not reduce availability for others, and people cannot be excluded from benefiting even if they don't pay.

Classic examples include national defense and street lighting. Because firms cannot charge users directly and there's no incentive to produce something for which payment cannot be guaranteed, the free market fails to supply such goods at all. There is market failure due to non-provision of public goods. Hence, government intervention becomes necessary. Hence key D is correct.

Option A is incorrect because while demerit goods (e.g. cigarettes, alcohol) may be overconsumed in a free market due to information failure, they are still *supplied*. The issue is overuse, not absence.

Option B is incorrect because merit goods (like healthcare or education) are *underprovided*, not absent. The private sector may supply them, but often at socially suboptimal levels, due to information gaps.

Option C is incorrect as it falsely suggests private goods (like food, cars) would not be supplied in a free market. In fact, private goods are *suited* for market provision due to their excludability and rivalry.

5-D:

Opportunity cost refers to the **benefit forgone** from the next best alternative when a choice is made. In this case, the individual chooses to buy sports shoes for \$20. That \$20 could have been spent on something else perhaps a meal, a book, or savings interest. The key is that we only consider the **next best use**, not all possible uses. This reflects rational choice theory:

individuals allocate scarce resources (in this case, money) to maximise utility, and the opportunity cost quantifies what is sacrificed.

Option A is incorrect because it refers to *all* possible alternatives, which is not how opportunity cost is measured. Only the next best use matters, not every forgone option.

Option B is incorrect because transportation cost is not a sacrificed benefit; it is an **additional cost** associated with the purchase, not the opportunity cost.

Option C is irrelevant, as the value of the old shoes does not represent the benefit forgone by spending \$20 on new ones.

6-B:

Effective demand is demand backed by **the ability to pay**. Effective demand is a concrete demand backed by purchasing power. Hence, key B is correct.

Option A is incorrect. **Speculative demand** for money refers to the demand for money held as an asset, distinct from money held for transactions or precautionary reasons. It arises from the expectation that holding money will be more advantageous than holding other assets, like bonds, in the future due to anticipated changes in interest rates or asset prices.

Option C is incorrect, as the relationship between price and quantity demand is reflected through the law of demand.

Option D incorrectly defines total consumption demand of consumers, missing the essential condition of purchasing power.

7-A:

Positive value of YED represents normal goods, as it shows a positive relationship between income and quantity demanded. Whereas, a negative value of YED shows a negative relationship between income and quantity demanded.

->A value of -0.4 means good X is an **inferior good** — as income rises, demand falls.

PED > 1 represents elastic demand, whereas PED < 1 represents inelastic demand. In the case of PED, we ignore the minus sign, as the value of PED is always negative due to an inverse relationship between price and quantity demanded.

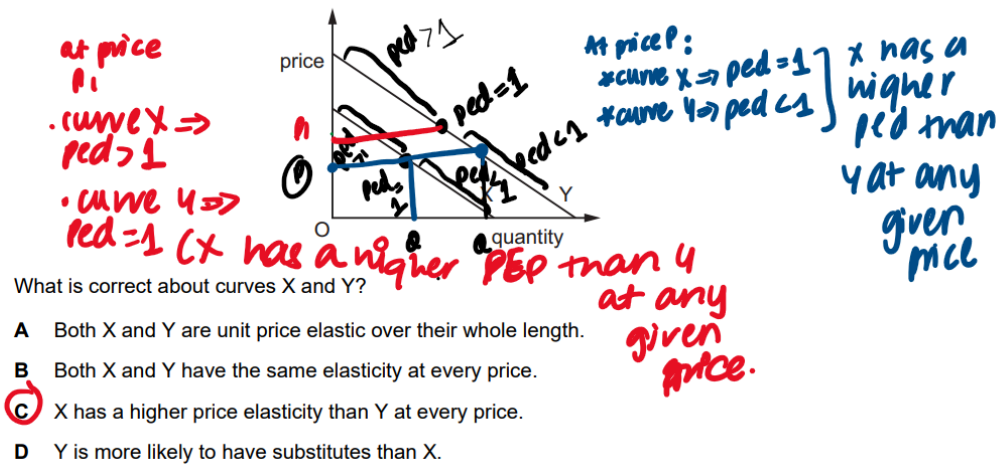
->A price elasticity of -2.4 means demand is price elastic.

A positive value of XED represents substitutes, whereas a negative value represents complements.

->A positive cross-elasticity of $+0.8$ with respect to good Y implies that X and Y are **substitutes**, as a rise in the price of Y increases demand for X.

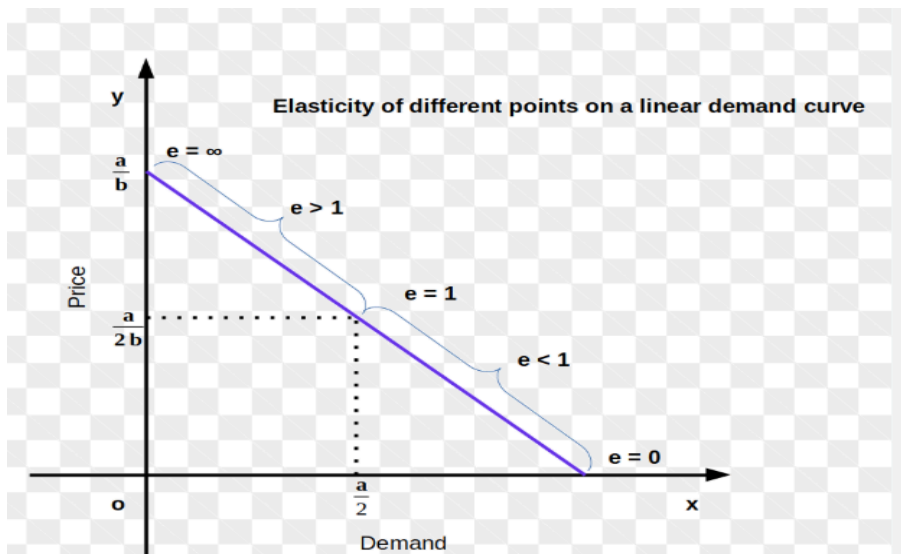
Hence, key A is correct.

8-C:



This explains why key C is correct.

- A) A rectangular hyperbola represents a demand curve where the price elasticity of demand (PED) is unitary elastic (equal to -1) at all points. This is not the case in case of a linear demand curve. Hence, key A is incorrect.
- B) Both X and Y do not have the same elasticity at every price because Price elasticity of demand changes as you move along a linear demand curve. This can be seen in the figure below:



- D) Based on this data, we can not say that Y is more likely to have substitutes than X.

9-D:

If PES = +1.5 and price rises by 20%, we apply the elasticity formula to find out percentage change in quantity supplied:

% change in quantity supplied/% change in price = PES

% change in quantity supplied = PES × % change in price

= $1.5 \times 20 = 30\%$ more yoghurt supplied.

10-C:

Since butter is a normal good, an increase in consumer income leads to higher demand for butter. Butter and bread are in **joint demand**, meaning they are typically consumed together. As people buy more butter, their demand for complementary goods like bread also rises. This rightward shift in the demand curve for bread causes **upward pressure on its price**, assuming supply remains constant. Thus, the price of bread increases as a direct consequence of stronger complementary demand.

Butter and buttermilk are in **joint supply**, meaning they are produced simultaneously from the same process. When the demand for butter rises, producers increase butter production to meet this demand, which also leads to a greater supply of buttermilk. This **excess supply** leads to a **fall in the price of buttermilk**.

11-A:

Producer surplus is the area above the supply curve and below the market price. This is the triangle **PWU** in the diagram. Hence, key A is correct.

Option B (PVW) includes consumer surplus, not producer surplus. This is the area below the demand curve, and above the price line.

Option C (OUWQ) is incorrect, as it represents additional costs or marginal costs.

Option D (OPWQ) is total revenue (**price × quantity**), not producer surplus.

12-A:

Raising the **minimum wage** lifts incomes for low-wage workers, directly addressing **income inequality**. However, setting it **above the equilibrium wage** may lead to **excess supply of labour**, i.e. unemployment, particularly among low-skilled workers.

Employers may hire fewer workers or automate jobs due to higher wage costs, and hence they contract quantity demanded of labor, which determines the level of employment. Whereas, on the other hand, workers extend their quantity supplied of labor in pursuit of higher wages. This results in excess supply or surplus of labor, which denotes unemployment.

Thus, this policy simultaneously reduces inequality while potentially reducing employment. Hence, key A is correct.

Option B is incorrect, as lowering income tax for low earners also reduces inequality but *encourages employment*, not the reverse.

Option C is incorrect, as subsidies for merit goods increase supply of merit goods. And when production increases, the quantity demanded of labor is likely to extend as well, representing an increase in employment. **Option D** refers to government provision of essential goods. In order to provide these essential goods, the government will have to employ workers to produce these goods, hence increasing employment.

13-A:

Merit goods (like education, vaccines) are underconsumed in a free market due to **information failure**, as consumers **underestimate the value of these goods**, leading to **suboptimal demand**. For example, a parent might undervalue early childhood education, or an individual might ignore long-term health benefits of vaccines. As a result, demand is lower than socially desirable, justifying government intervention through subsidies or direct provision.

Option B is incorrect as merit goods can not be regarded as “unproductive goods.”

Option C is incorrect as merit goods *can* be privately provided; government provision is not a requirement.

Option D is incorrect as merit goods are not only provided by the private sector; the state provides them as well.

14-B:

Raising the top rate of income tax makes the tax system more progressive, meaning the average rate of tax (ART) rises with income. Here, the marginal rate of tax (MRT) exceeds the ART, so a greater percentage of income is taken from high earners as income increases. This shifts the tax burden toward the rich and helps reduce income inequality.

On the other hand, sales taxes are regressive — the ART falls as income rises, and MRT is less than ART. Poorer households spend a higher proportion of their income on taxed goods, making sales tax harder-hitting for them. Lowering the sales tax rate therefore eases this burden. Together, this combination targets inequality from both ends, making option B the most effective choice.

Option A) Raising the tax-free allowance helps low earners by reducing their tax burden. However, increasing the sales tax is **regressive**, as it hits the poor harder because **ART falls with income**, and **MRT < ART**. The regressive impact may prevent inequality from improving.

Option C) Lowering the tax-free allowance increases the tax burden on low-income earners, making the system **less progressive**. Exempting more goods from sales tax does help the poor, but any gains may be offset due to the tax-free allowance being lowered.

Option D) Cutting the top tax rate reduces the burden on the rich, and the tax becomes less progressive. At the same time, removing exemptions from sales tax increases poor households' effective burden. Both changes widen inequality significantly.

15-C:

Definition of Recession: A recession is a period of at least two consecutive quarters in which real GDP falls.

Real GDP index numbers show a fall from **100 Q1 (99.4)** to **Q2 (99.3)**, following a prior fall from **100 in 2020**.

Since **two consecutive quarters** of negative growth define a **recession**, Q1 and Q2 of 2021 meet this condition. This reflects reduced output and possibly lower employment and income levels that is typical of recessionary conditions. Hence key C is correct.

Option A) Real GDP = **(Nominal GDP / Price Index) x 100**-> It can be seen through the formula of **Real GDP** that it may also fall when nominal GDP falls. Therefore, we can't conclude that it was because of inflation.

Option B) We can't say that Real GDP was lower at the end of 2021 than 2020 because we don't have absolute values of Real GDP.

Option D) makes a flawed assumption. Higher real GDP does not automatically mean higher living standards unless factors like population size and income distribution are considered.

16-C:

A reduction in infrastructure spending is a **contractionary fiscal policy**. It lowers government spending and subsequently reduces aggregate demand, so it is unlikely to cause demand-pull inflation. At the same time, it does not directly raise production costs (e.g. wages, raw materials), so it also doesn't cause cost-push inflation. In fact, it may lower inflationary pressure overall. Hence, key C is correct.

Option A) A weaker currency makes imports more expensive, raising costs of imported raw materials and components, which can cause cost-push inflation. Simultaneously, a weaker currency can boost net exports by making domestic goods cheaper abroad, increasing aggregate demand and contributing to demand-pull inflation. So, depreciation can trigger both types of inflation.

Option B) Tariffs raise the cost of imported goods, which pushes domestic prices up, a clear cost-push inflation effect. If domestic producers now face less competition, they may also raise prices, further adding to inflation. Additionally, domestic production may expand to replace imports, and when domestic consumption increases, this raises aggregate demand, causing demand-pull inflation. Thus, tariffs can contribute to both forms of inflation.

Option D) Higher wages increase production costs, especially in labour-intensive industries leading to cost-push inflation. If wages rise across the economy, workers' income increases, boosting consumer spending and aggregate demand, resulting in demand-pull inflation. Therefore, wage growth can drive both types of inflation simultaneously.

17-B

In the circular flow of income model, exports are an injection into the economy as they bring money from abroad into the domestic flow. When export revenue increases, it raises firm incomes and profits, leading to higher payments to workers and suppliers, which in turn increases consumption and national income through the multiplier effect. Hence, B is correct.

Option A) Imports are a withdrawal, and do not necessarily rise immediately with exports.

Option C) Savings are not an immediate result of higher exports.

Option D) Tax revenue might eventually rise due to increased incomes, but it's not the direct or immediate effect.

18-D)

The **unemployment rate** is defined as:

$$\text{Unemployment Rate} = (\text{Number of unemployed people} / \text{Labour force}) \times 100$$

The **labour force** includes both the employed and those actively seeking work (unemployed). This measure excludes those not seeking work (students, retired individuals, etc.), making Option D correct.

Option A) The adult working population (aged 16-65) includes non-working groups like retirees and students, or in other words, groups who are not in the labor force, which distorts the rate.

Option B) "number of unemployed who are seeking work" is just the numerator, not the full base.

Option C) Using only those in full-time work in the denominator excludes other groups which are a part of the labor force. These include part-time workers and unemployed people who are actively seeking work.

19-C

Aggregate demand (AD) is defined as:

$$AD = C + I + G + (X - M)$$

Where **M** (imports) is a **leakage** from the circular flow. An increase in imports reduces **net exports (X - M)** and therefore lowers AD. So if consumers or firms spend more on imported goods rather than domestic ones, **domestic output and income fall**, causing a decrease in AD.

Option A is incorrect as higher consumption raises AD.

Option B is incorrect as more government spending increases AD.

Option D is incorrect as higher investment raises AD.

20-D

Initially, with a **balanced budget**, the government's tax revenue = expenditure. A 10% increase in spending would create a deficit unless revenue rises. To generate a **surplus**, the government must raise revenue by more than 10%. If revenue rises **20%**, the increase in revenue will exceed the 10% rise in spending, leading to a surplus.

Option A (−10%) is wrong as this would worsen the deficit.

Option B (0%) keeps the same revenue, creating a 10% deficit.

Option C (+10%) only balances the increased expenditure, no surplus is created

21-B:

A **currency depreciation** makes **exports cheaper** and **imports more expensive**, improving the **current account** by increasing export revenues and reducing import expenditures if demand is elastic.

Higher exports raise production and boost employment by raising the demand for labor (reducing unemployment), while reduced import demand helps narrow the trade deficit. This tackles both macroeconomic problems simultaneously. Hence, key B is correct.

Option A is incorrect as cutting government spending reduces AD and worsens unemployment.

Option C is incorrect as higher indirect taxes raise prices and reduce spending, again worsening unemployment.

Option D is incorrect as raising interest rates dampens investment and consumption, which lowers AD and increases unemployment. It may help the current account, but at the cost of growth.

22-D:

A leftward shift of the Aggregate demand curve from **AD1 to AD2** represents a **fall in aggregate demand**.

Higher **income taxes** reduce **disposable income**, lowering consumption, which results in a reduction in Aggregate demand.

Higher **sales taxes** push the prices of goods and services up, and by increasing the cost of consumption, they further discourage spending. As a result, they reduce Aggregate demand.

Together, these contractionary fiscal tools shift AD leftward.

23-A:

Supply-side policies aim to **increase productive capacity** and **long-term aggregate supply (LRAS)**. Government spending on **training and education** enhances **human capital**, raising labour productivity and shifting the LRAS curve outward. It also reduces structural unemployment over time. Hence, key A is correct.

Option B is incorrect as raising sales tax results in an increase in costs of production, which subsequently leads to a fall in Aggregate Supply. This has a contractionary effect on Aggregate Supply.

Option C is incorrect as higher interest rates raise costs of borrowing and discourage investment, subsequently reducing Aggregate demand. This is a contractionary monetary policy tool.

Option D is incorrect as an appreciated currency may hurt exports. When export revenues reduce, there is a dampening effect on Aggregate demand.

24-C:

To determine what makes trade beneficial between the two countries, we must compare their **opportunity costs**, since it is comparative advantage that drives mutually beneficial trade. The data provides the **factor inputs required** to produce one unit of each good, meaning we must first calculate the opportunity cost of producing one good in terms of the other.

In **Country X**, it takes **4 units of input to produce 1 tonne of wheat**, and **2 units to produce 1 car**. Using these same 4 units (the amount needed to produce 1 wheat), the country could instead produce **2 cars** ($4 \div 2$). Therefore, the **opportunity cost of 1 wheat in Country X is 2 cars**.

In **Country Y**, wheat requires **8 units of input** and cars require **6 units**. With 8 units (enough to make 1 wheat), Country Y could instead make **1.33 cars** ($8 \div 6$). Thus, the **opportunity cost of 1 wheat in Country Y is 1.33 cars**.

Now we compare the opportunity costs. Country Y has a **lower opportunity cost in wheat production** (1.33 cars vs 2 cars). This means **Country Y has a comparative advantage in wheat**, and **Country X has a comparative advantage in cars**.

Since comparative advantage exists with each country relatively more efficient in producing one good, trade allows both to specialise and benefit. Therefore, the correct answer is **C: Country Y has a comparative advantage in wheat production**.

Options A and B) are incorrect because they refer to absolute advantage, which cannot be determined from the data provided. Absolute advantage is based on output comparisons, showing which country can produce more of a good using the same amount of resources. However, the question only gives information about factor inputs required per unit of output, not actual quantities produced. Without output data, we cannot judge which country produces more efficiently in absolute terms.

Option D) is incorrect because we know that the opportunity cost ratios are not the same between the two countries. In Country X, the opportunity cost of 1 wheat is 2 cars, while in Country Y it is 1.33 cars. Since the opportunity costs differ, the basis for comparative advantage exists, and the claim in option D is false.

25-D:

Even if a depreciation makes exports cheaper and imports more expensive, it won't improve the trade balance **if other countries impose trade barriers**. Tariffs, quotas, or import bans limit demand for exports, even at lower prices. Hence, key D is correct.

Option A is incorrect as gaining a competitive advantage *supports* current account improvement.

Option B is irrelevant as capital account surplus offsets current account deficit **financially** but this is not relevant here as the question asks about what will prevent depreciation from improving current account deficit.

Option C is incorrect as the Marshall Lerner condition states that for depreciation to improve current account deficit, the price elasticities of demand for the country's exports and imports should be greater than one.

26-D:

The Terms of Trade (TOT) formula is calculated by dividing the index of export prices by the index of import prices, and then multiplying the result by 100. This can be expressed as: $TOT = (\text{Index of Export Prices} / \text{Index of Import Prices}) * 100$

If **export prices rise** and **import prices fall**, the ToT must **improve** as each unit of export can now buy more imports. Hence, key D is correct.

Option A is incorrect as changes in volume do not affect **ToT**, which is about **price**, not quantity.

Option B is wrong as total values combine **price and quantity**; ToT isolates prices.

Option C is wrong as Balance of Trade is different from Terms of Trade.

27-B:

The trade in goods balance is calculated by subtracting imports from exports. Here, exports are \$150 billion and imports are \$200 billion, resulting in a trade deficit of \$50 billion. So, the balance on goods is $-\$50$ billion.

For trade in services, the exports are \$70 billion while the imports are \$50 billion. This gives a trade surplus of \$20 billion on services.

In the case of primary income, the country receives \$120 billion and pays out \$100 billion. This leads to a positive balance of \$20 billion.

For secondary income, the country receives \$15 billion in transfers but pays out \$20 billion. This results in a deficit of \$5 billion.

Adding all components together: $-\$50 \text{ billion (goods)} + \$20 \text{ billion (services)} + \$20 \text{ billion (primary income)} - \$5 \text{ billion (secondary income)}$ gives a total **current account balance of $-\$15 \text{ billion}$** .

The correct answer is **B**.

28-B:

Year	Goods Balance (\$bn)	Services Balance (\$bn)	Combined Balance (\$bn)	Change from Previous Year (\$bn)
2015	+120	-30	+90	-
2016	+110	-30	+80	-10
2017	+50	-10	+40	-40 
2018	+130	-60	+70	+30
2019	+140	-50	+90	+20

The largest change occurred between 2016 and 2017, with a $-\$40 \text{ billion}$ drop in the combined balance. This confirms Option B is correct.

29-D:

The market diagram shows a **leftward shift** of the supply curve from **S_{dom + imports}** to **S₂**, raising the price from p_1 to p_2 .

This reflects the imposition of a **tariff**, a tax on imports, making them more expensive, eventually raising prices.

Option A (embargo) would eliminate imports completely.

Option B (currency appreciation) would make imports **cheaper**, eventually decreasing prices.

Option C (domestic subsidy) shifts **domestic** supply right, lowering price, which is opposite of what's shown.

30-A:

A. This is not a likely cause of a current account deficit. When consumer spending is low, there is typically less demand for imports, especially consumer goods. This would likely reduce the

import bill, improving the trade balance. Therefore, low consumer spending does not lead to a worsening current account and is the correct answer to the question.

B. This can cause a current account deficit. The primary income component includes interest, dividends, and profits from abroad. If the country earns less investment income from abroad (while still making payments to foreign investors), this worsens the current account balance.

C. A high exchange rate makes imports cheaper and exports more expensive, reducing export competitiveness and increasing import spending. This worsens the trade balance and can lead to a current account deficit.

D. High wage costs raise the cost of domestic production, making exports less price competitive and encouraging imports of cheaper foreign goods. This can widen the trade deficit and worsen the current account.

